

For example, a startup might create a complete prototype of its product and offer to sell it to real customers through its main marketing channel. This single MVP would test most of the startup's assumptions and establish baseline metrics for each assumption simultaneously. Alternatively, a startup might prefer to build separate MVPs that are aimed at getting feedback on one assumption at a time. Before building the prototype, the company might perform a smoke test with its marketing materials. This is an old direct marketing technique in which customers are given the opportunity to preorder a product that has not yet been built. A smoke test measures only one thing: whether customers are interested in trying a product. By itself, this is insufficient to validate an entire growth model. Nonetheless, it can be very useful to get feedback on this assumption before committing more money and other resources to the product.

These MVPs provide the first example of a learning milestone. An MVP allows a startup to fill in real baseline data in its growth model—conversion rates, sign-up and trial rates, customer lifetime value, and so on—and this is valuable as the foundation for learning about customers and their reactions to a product even if that foundation begins with extremely bad news.

When one is choosing among the many assumptions in a business plan, it makes sense to test the riskiest assumptions first. If you can't find a way to mitigate these risks toward the ideal that is required for a sustainable business, there is no point in testing the others. For example, a media business that is selling advertising has two basic assumptions that take the form of questions: Can it capture the attention of a defined customer segment on an ongoing basis? and can it sell that attention to advertisers? In a business in which the advertising rates for a particular customer segment are well known, the far riskier assumption is the ability to capture attention. Therefore, the first experiments should involve content production rather than advertising sales. Perhaps the company will produce a pilot episode or issue to see how customers engage.